



**Before the
FEDERAL TRADE COMMISSION
Washington, D.C. 20580**

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

**Notice of Proposed Rulemaking for a
Trade Regulation Rule on Unfair or Deceptive Fees**

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On behalf of the Association of National Advertisers (“ANA”), we provide these comments in response to the Federal Trade Commission’s (“FTC” or “Commission”) request for comment on the proposed Trade Regulation Rule on Unfair or Deceptive Fees (“RFC”).¹ The FTC states that the proposed rule “would prohibit unfair or deceptive practices relating to fees for goods or services... [through omissions of] mandatory fees from advertised prices and misrepresenting the nature and purpose of fees.”² The FTC generally uses the term “junk fees” to refer to omitted and misrepresented charges.³ The ANA has long championed truth in advertising, and the ANA’s *Guidelines for Ethical Business Practice* (the “Guidelines”) support our members’ high standards in providing clear, honest, and complete pricing (including transparency in extra charges) to their customers. As discussed in more detail in these comments, we encourage the FTC to ensure it meets the substantive and procedural requirements of its rulemaking authority under the FTC Act. We also note that the agency already possesses tools at its disposal to deter undesired conduct in this area. If the FTC proceeds, however, clarity and flexibility should be provided to businesses of all sizes in a manner that accommodates various kinds of pricing structures and business models so consumers can continue to reap the benefits of innovative offerings in the marketplace.

As America’s oldest and largest advertising trade association, the ANA has long supported the efforts of brands, advertisers, marketing service providers, and countless other entities to provide clear and understandable offers of pricing for goods and services to consumers. The ANA’s mission is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA’s membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually.

The ANA supports the Commission’s desire to ensure pricing and fees are presented in a transparent and understandable manner to consumers. Our comments first recount the FTC’s rulemaking authority, including requirements of the Magnuson-Moss Warranty-Federal Trade Commission Improvements Act (“Mag-Moss”); then, our comments demonstrate that the Commission has not met its obligation to define a specific, prevalent act or practice as the subject of an unfair or deceptive acts or practices rulemaking. We also discuss enforcement authority the FTC can use to bring actions against entities that unfairly or deceptively issue fees to consumers. Next, we highlight existing ethical guidelines that call on industry to provide clarity in pricing and offers to consumers. Finally, assuming *arguendo* that the FTC ultimately meets its Mag-Moss requirements, we provide input on select provisions of the proposed rule that would benefit from increased clarity and flexibility for businesses to best serve consumers.

¹ 88 Fed. Reg. 77420-77485 (Nov. 9, 2023), located [here](#) (hereinafter, “FTC NPRM”).

² *Id.* at 77420.

³ See FTC, *Press Release: FTC Proposes Rule to Ban Junk Fees* (Oct. 11, 2023), located [here](#).

I. The FTC Must Define a Specific, Prevalent Practice to Be Regulated in Order to Meet Mag-Moss Rulemaking Requirements

The FTC may develop regulations to proscribe or limit unfair or deceptive conduct through two authorities: (1) a direct statutory grant of authority from Congress; or (2) Section 18 of the FTC Act, *i.e.*, Mag-Moss rulemaking authority. Because the Commission was not explicitly directed to enact regulations on “junk fees” through a statute passed by Congress, the Commission’s only remaining avenue for issuing rules in this area is through Section 18 Mag-Moss procedures. Mag-Moss procedures are precise and detailed. These processes were put into place in response to past instances when the FTC overextended its rulemaking authority.⁴ Mag-Moss requirements thus serve the important purpose of ensuring the Commission clearly defines conduct to be regulated and shows a history of unfairness or deception through that conduct, demonstrated by factual evidence, to support its stated need for a rule in a particular area.

Under Mag-Moss, the FTC must clearly define the practice to be regulated; engage with interested parties through notice-and-comment processes and hearings; develop an administrative record to support the proposed rule; publish findings regarding the topic to be regulated; and support its findings with past orders or other information showing a prevalent and specific issue the Commission seeks to address.⁵ Establishing the unfair or deceptive act or practice to be regulated with specificity and showing that the act or practice is prevalent are critical baseline requirements the FTC must meet to promulgate a valid Mag-Moss rule and must be supported by evidence such as Commission findings, past cease-and-desist orders, and other materials.⁶ Congress’s purpose for requiring the FTC to establish specificity and prevalence was to help curb the regulatory overreach that initially motivated Congress to enact Mag-Moss processes. The FTC consequently must meet the critical threshold requirements of establishing specificity and prevalence under Mag-Moss rulemaking in order to finalize a proposed rule.

The FTC’s Notice of Proposed Rulemaking and accompanying RFC, while lengthy, do not clearly define specific unfair or deceptive conduct to be regulated. As discussed in more detail in Section III below, the FTC does not make clear which fees are “junk fees,” and it does not clearly demonstrate a history of prevalent conduct the agency has sought to curtail through enforcement efforts or other actions. The mere existence of fees in products and services and consumers’ general distaste for such fees are not enough to support the rule. The Commission must show a pattern of prevalent unfair or deceptive conduct and define specific fee presentations or structures as the subject of regulation in order to meet Mag-Moss procedures. The Commission must ensure any rule it promulgates in this area meets the requirements of the FTC Act to regulate a specific unfair or deceptive practice that is demonstrated to be prevalent in the marketplace.

⁴ See J. Howard Beales III and Timothy J. Muris, *Return of the National Nanny* (May 26, 2022), located [here](#).

⁵ 15 U.S.C. § 57a.

⁶ *Id.*

II. The FTC’s Existing FTC Act Section 5 Enforcement Authority Can Be Harnessed to Meaningfully Deter Unfair and Deceptive Fee Practices

Section 5 of the FTC Act empowers the Commission to bring enforcement actions against actors who engage in unfair or deceptive conduct related to “junk fees.”⁷ By examining a specific set of facts related to fee practices, such enforcement actions would provide a clear picture of what constitutes unlawful conduct in this area. By contrast, a nebulous proposed rule, as discussed in more detail in Section III below, would lead to confusion for businesses and consumers alike rather than defining clear requirements for permissible and impermissible fee practices. The FTC should consider whether its own enforcement actions can better define and deter unfair and deceptive fee conduct than the proposed rule, which as presently drafted would impose vague and overly rigid requirements for businesses.

III. Existing Ethical Guidelines Support Clarity and Honesty in Pricing and Fees

In the RFC, the FTC asks commenters to describe ways the proposed rule, if promulgated, would “intersect with existing industry practices, norms, rules, laws, or regulations.”⁸ The ANA and its members strongly support transparency in pricing to consumers. One way the ANA has historically supported fee clarity and price transparency is by championing long-established industry guidelines that promote ethical best practices in advertising. For example, the ANA maintains a set of ethical guidelines which reflect the advertising industry’s enduring policy of encouraging the highest levels of ethics in data stewardship and marketing.

The Guidelines are directly relevant to the FTC’s RFC, as they maintain provisions calling for clarity in offers of pricing. Specifically, the Guidelines state: “All offers should be clear, honest, and complete so that the consumer may know the exact nature of what is being offered, the price, the terms of payment (including all extra charges) and the commitment involved in the placing of an order.”⁹ In this way, a written and published set of guidelines for the advertising industry already promotes ethical best practices regarding how fees should be disclosed to consumers. The Guidelines emphasize the importance of truth in advertising through honesty in pricing and offers and guide businesses to disclose fees in a complete manner. Any rule the FTC might finalize in this area would overlap and intersect with these existing and effective Guidelines, which serve an important purpose in memorializing generally accepted advertising conduct in the context of fees and pricing.

IV. The FTC Should Clarify the Proposed Rule’s Definitions and Disclosure Requirements and Prioritize Flexibility to Account for Different Business Models

The FTC asks commenters to provide feedback on the proposed rule, including by noting if the proposed definitions are clear or if changes to the proposed definitions may be necessary.¹⁰

⁷ 15 U.S.C § 45.

⁸ FTC NPRM at 77481, Question 8.

⁹ ANA, *Guidelines for Ethical Business Practice* at Part II, Art. I, located [here](#).

¹⁰ FTC NPRM at 77481.

As discussed above in Sections I and II, the FTC has not met certain Mag-Moss requirements to promulgate the proposed rule, and the agency already has tools at its disposal to deter undesired practices related to the manner in which pricing is presented to consumers. Assuming, however, that the FTC does ultimately meet its Mag-Moss requirements to promulgate the proposed rule and the proposed regulation is necessary to define the contours of unfair or deceptive conduct, several definitions and requirements in the proposed rule should be updated to reflect the wide range of fee structures deployed in the market and to clarify the rule's applicability to only mandatory fees. Clarity benefits both businesses and consumers by increasing certainty about the scope of conduct covered by the rule and improving transparency in the market.

a. The Proposed Rule Should Clarify the Concept of “Junk Fees” and Promote Flexibility to Permit Complex Pricing Models that Benefit Consumers

The FTC does not make clear what “junk fees” it proposes to limit or regulate, and without additional clarity, the proposed rule may unintentionally capture complex pricing models that promote consumer choice. For example, requirements to disclose one up-front “Total Price” may not fully account for the vast array of pricing models used in today's market.¹¹ Although it may be possible to clearly identify fees that contribute to a final total price under some models, other models are significantly more complex.

Up-front disclosure of all fees under more complex models may not be possible in every instance, especially when a business advertises a product or service that allows for significant consumer customization. Depending on the consumer's preferences and the product or service that a consumer ultimately decides to purchase, additional fees may apply that were not included in the base price for an advertised offering. For example, a business may advertise a particular base price for a hotel stay; however, the actual purchase price of the stay may vary widely based on a consumer's preferences. Whereas some consumers may consider WiFi, turn-down service, all-inclusive packages, or resort excursions such as water sports or guided tours part and parcel of a vacation experience, and therefore may view fees for these features as mandatory, other consumers may travel without thinking of those offerings as an integral or mandatory part of a hotel stay. Additionally, some consumers may prefer hotel rooms with rates that may cost more than the base rate for the room because rooms with higher rates may provide certain cancellation opportunities, and therefore may differ from the advertised base price. In contrast, a consumer who can commit to a trip without the need for cancellation flexibility, does not need WiFi, turn-down service or an all-inclusive hotel stay package, or has no desire for resort excursions may benefit from selecting a hotel stay option with a lower base price that does not incorporate fees other consumers may view as all-inclusive or mandatory. An economy-wide rule like the one proposed should recognize the wide array of pricing models used by businesses and prioritize flexibility so that potential consumer benefits (including consumer choice) resulting from the use of such models are not lost.

¹¹ *Id.* at 77484; 16 C.F.R. § 464.1(g) (proposed).

b. The Proposed Rule Should Provide Greater Flexibility Relating to Disclosures to Account for Varied Mediums and to Alleviate Burdens on Small Businesses

The FTC should similarly ensure its requirements for how to describe “junk fees” are clear. The proposed rule’s “Clear and Conspicuous” notice requirements, for example, must be understandable and nimble enough to be adapted for the broad range of mechanisms businesses use to advertise their products and services. The current definition of “Clear and Conspicuous” imposes prescriptive visual and audio disclosure requirements that may not cleanly map onto all advertising mediums.¹² An advertiser’s compliance obligations may be unclear or impossible if the advertiser uses a medium that does not allow for a particular type of disclosure. Further, the smallest companies are most likely to feel the potential compliance burdens of applying a prescriptive rule to business models that may not comfortably fit within the proposed framework. Whereas larger businesses with dedicated legal teams may devote resources to developing compliance strategies that account for potential variations, small businesses facing prescriptive rules with unclear applications to new models may be forced to take on greater compliance risk or to limit their outreach to consumers. The final rule should provide additional flexibility with respect to disclosure requirements to better accommodate current and future advertising mediums that may not allow for the contemplated disclosures and to alleviate compliance burdens on small businesses.

c. The Proposed Rule Should Be Limited to Only Mandatory Fees and Avoid the Use of “Ancillary” to Describe Mandatory Fees

The proposed rule uses contradictory terms to describe disclosure requirements, which is likely to lead to confusion about the scope of fees that should be included in price disclosures. The FTC should clarify the rule applies to only “mandatory” fees. The current rule contains no definition for the types of fees the FTC considers to be mandatory and instead requires that “any mandatory Ancillary Good or Service” be included in the “Total Price.”¹³ Ancillary fees, by definition, are not “mandatory” and should not be characterized as “mandatory” fees subject to the proposed disclosure requirements.¹⁴ The RFC distinguishes between an optional fee and one that is truly “mandatory” because it is “necessary to render the good or service fit for its intended use.”¹⁵ Despite acknowledging this distinction in the FTC’s Notice of Proposed Rulemaking, the proposed rule itself makes no similar clarifying distinctions and confusingly conflates the concepts of “ancillary” and “mandatory” fees. Any final rule should eliminate the use of “ancillary” to describe fees that are actually “mandatory” and define the scope of “mandatory fees” subject to the disclosure requirements. Such clarifications would help to eliminate confusion for both businesses and consumers about the types of fees meant to be captured in the upfront “Total Price.”

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Thank you for the opportunity to submit comments on this important topic. Please do not hesitate to contact us with any questions regarding this submission.

¹² FTC NPRM at 77483-84; 16 C.F.R § 464.1(c) (proposed).

¹³ FTC NPRM at 77484; 16 C.F.R § 464.1(a) (proposed).

¹⁴ FTC NPRM at 77483; 16 C.F.R § 464.1(g) (proposed).

¹⁵ FTC NPRM at 77439.